

HOUSE BILL 1175

By Williams

AN ACT to amend Tennessee Code Annotated, Title 13;
Title 49; Title 68 and Title 71, relative to child care.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 49-13-136(c), is amended by deleting subdivisions (2)-(6) and substituting:

(2) An LEA in which one (1) or more public charter schools or child care agencies operate shall submit a comprehensive listing of all underutilized property or vacant property to the department of education and the comptroller of the treasury. The department shall make an LEA's list available to a public charter school or child care agency operating in the LEA or to a sponsor seeking to establish a public charter school or child care agency in the LEA.

(3) A public charter school or child care agency may petition the comptroller of the treasury for an audit of the list of all underutilized property or vacant property submitted by the LEA in which the public charter school or child care agency are, or will be, geographically located. The comptroller of the treasury is authorized to promulgate rules, in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5, for the administration of this subdivision (c)(3).

(4)

(A) A public charter school or child care agency operating within the geographic boundaries of an LEA, excluding public charter schools in the achievement school district, has a right of first refusal to:

(i) Purchase vacant property listed by the LEA under this section at or below fair market value for educational purposes or for child care use; or

(ii) Lease underutilized property or vacant property listed by the LEA under this section at or below fair market value for educational purposes or for child care use. A lease agreement executed between a public charter school and an LEA or a child care agency and an LEA must not reflect any outstanding bonded debt on the underutilized property or vacant property, except as agreed upon to reflect any necessary costs associated with the occupation or remodeling of the facility.

(B) For purposes of this subsection (c):

(i) "Fair market value for educational purposes" is determined by taking the average of two (2) separate appraisals conducted by two (2) independent, qualified appraisers, one (1) selected by the LEA and one (1) selected by the public charter school; and

(ii) "Child care use" is determined by taking the average of two (2) separate appraisals, one (1) selected by the LEA and one (1) selected by the child care agency.

(5)

(A) Upon the execution of a lease agreement pursuant to this section, a public charter school or child care agency has unrestricted use of the property. The public charter school or child care agency shall provide for routine maintenance and repair so that the leased property is maintained in as good of order as when the lease was executed. The public charter school or child care agency is responsible for paying all utilities used by the public charter school or

child care agency at the leased property. Extensive repairs to buildings or facilities considered capital expenses are the responsibility of the LEA funding body and not the public charter school or child care agency. If the public charter school or child care agency makes extensive repairs to buildings or facilities considered capital expenses, then the capital expenses must be credited against the cost of the lease. Any fixtures, improvements, or tangible assets added to leased property by the public charter school or child care agency pursuant to this section must remain at the leased property upon the public charter school's or child care agency's return of the leased property to the LEA.

(B) If the LEA decides to sell the school building that the public charter school or child care agency is leasing, then the public charter school or child care agency must be provided the right of first refusal to purchase the school building at or below fair market value for educational purposes or for child care use, less the value of all rental payments made to the LEA during the term of the lease.

(C) If, during the term of the lease, the public charter school or child care agency closes or ceases using the building, then the building must be placed on the LEA's vacant or underutilized property list pursuant to this subsection (c).

(6) If, after the purchase of vacant or underutilized property from an LEA pursuant to this subsection (c), the public charter school or child care agency closes or ceases using the property, then the LEA has the right of first refusal to purchase the property from the public charter school or child care agency at or below fair market value for educational purposes or for child care use. This subdivision (c)(6) does not require a public charter school or child care agency to sell property owned by the public charter school, the charter management organization, or the child care agency.

SECTION 2. Tennessee Code Annotated, Section 49-13-136, is amended by adding the following as a new subsection:

(h) As used in this section, "child care agency" has the same meaning as defined in § 71-3-501.

SECTION 3. Tennessee Code Annotated, Section 71-3-501, is amended by adding the following as a new subdivision:

() "Host school" means a public or private school that has a child care agency or early learning program in the school not affiliated with such school;

SECTION 4. Tennessee Code Annotated, Section 71-3-502(d)(3), is amended by deleting the subdivision and substituting:

(3) If the department determines that any of the criteria in subdivision (d)(2) has not been, or cannot be met, then it may deny an application for a provisional license; however:

(A) A host school's fire inspection is sufficient to meet the department's requirements for a provisional license as described in subdivision (d)(2) for a child care agency or early learning program in the host school for same age children as in the host school; and

(B) The host school's facilities, such as a playground for the same age children as in the child care agency or early learning program in the host school, is sufficient to meet the department's requirements as described in subdivision (d)(2) for an application for a provisional license.

SECTION 5. Tennessee Code Annotated, Title 71, Chapter 3, Part 5, is amended by adding the following as a new section:

(a) As used in this section:

(1) "Child care family home" means a setting in which a caregiver provides child care in a family residence or a residence with a homelike environment; and

(2) "Local governing authority" means the governing body of the municipality or county where a child care family home is located.

(b) A local governing authority shall treat a child care family home as residential property in the application of local regulations, including:

- (1) Zoning;
- (2) Land use development;
- (3) Fire and life safety;
- (4) Sanitation; and
- (5) Building codes.

(c) For zoning purposes, residential property use includes single-family residential zoning.

(d) For a child care family home, a local governing authority shall not impose:

(1) Stricter requirements than those provided by the division of fire prevention; or

(2) Any additional regulations that do not apply to other residential properties.

(e) This section does not restrict a local governing authority from managing the flow of traffic and parking related to an adjacent child care family home.

SECTION 6. This act takes effect July 1, 2025, the public welfare requiring it.